

INSURANCE AND PENSIONS COMMISSION



QUARTERLY REPORT FOR FUNERAL ASSURERS

FOR THE CUMULATIVE PERIOD ENDING 30 SEPTEMBER 2017

160 Rhodesville Avenue
Greendale
Harare

Tel. 443358/443261/443422

Cell: 0772 154 281, 0772 154 282, 0772 154 283, 0772 154 284

Fax. 443304

E-MAIL: enquiry@ipec.co.zw



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1. List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPW	Net Premium Written
IPEC/Commission	Insurance and Pensions Commission
Y-Growth	Yearly growth
Q1	First Quarter
Q3	Third Quarter
'16	2016
'17	2017
H1	Half year
Var	Variance
F.Funeral	First Funeral

This report is based on direct funeral assurers and gross premium of funeral business underwritten by life companies.



2. Overview of the Insurance and Pensions Commission

The Commission supervises and regulates the operations of life and non-life insurance companies, mutual societies, funeral assurance companies and insurance brokers. It issues licenses to insurance agents, general agents, underwriters, brokers, loss adjusters. It has also the authority to suspend or revoke such licenses as empowered by the Insurance Act [Chapter 24:07].

a) IPEC Mission Statement

To regulate and supervise the Insurance and Pension industry so as to protect the interests of policy holders and pension scheme members to facilitate industry growth.

b) IPEC Vision

A vibrant Insurance and Pension Industry contributing towards a safe and stable financial system

c) IPEC Core Values

▪ *Integrity*

We are fair, ethical and honest in our dealings with all our stakeholders. In doing so, we apply agreed policies equally to all, maintain the highest of personal, professional and ethical conduct.

▪ *Fairness*

We shall apply rules, regulations and procedures equally without fear and favour.

▪ *Transparency and accountability*

We disclose full information, on time to relevant stakeholders where applicable. We take full responsibility and are answerable for our decisions and actions.

▪ *Accessibility*

We endeavour to deliver justice to all using different methods and strategies.

▪ *Responsive*

We timely, efficiently and effectively attend to the needs of our clients and stakeholders.

▪ *Empathy*

In serving our clients and stakeholders, we will put ourselves in their circumstances, so as to appreciate their requirements.

▪ *Confidentiality*

We shall handle our clients and their information in confidence.

▪ *Discipline*

We shall act in accordance with our code of conduct.

▪ *Equal opportunity employer*

We do not discriminate potential employees on the basis of any ism.

▪ *Professionalism*

In undertaking our jobs, we are guided by the tenets of our professions



3. Introduction

The information contained in this report has been extracted from the quarterly unaudited returns submitted to the Commission in line with Section 30 of the Insurance Act [Chapter 24:07]. No adjustments were made to the returns' data except where this was done in consultation with the funeral assurer(s).

This report is based on the operational statistics of 9 funeral assurance companies namely Orchid, Doves, First Funeral, Moonlight, Foundation Mutual Society, Passion, Ruvimbo, Sunset and Vineyard and funeral assurance business written by life assurance companies.

4. Economic Overview

Economic Growth - In his midyear budget review, the Minister of Finance Hon. Chinamasa maintained a 3.7% Gross Domestic Product (GDP) growth forecast for 2017. The forecast was premised on growth particularly in agriculture and mining. However, the cyclical nature of agriculture and mining growth drivers, particularly weather and price fluctuations compromises the sustainability of near-term growth prospects.

Inflation – Officially, Inflation for August 2017 was unchanged from the previous month, closing at 0.14%. Month on month inflation increased from -0.36% in July 2017 to -0.13% in August 2017. Year to date inflation eased from 0.36% to 0.23%. Near zero inflation seems out of sync with generalised reports of price increases, more so factoring reports of multi-pricing tendencies have re-emerged. This implies devaluation of non US\$ cash payment methods.

5. Industry Overview

The number of Funeral assurers operating in the market remained at 9 by end of the third quarter as there were no new registrations or cancellations. Gross written premium for the period grew by 11 percent compared with the same period last year (from \$112.55 million to \$125.36 million). This continued growth shows the resilience of the funeral industry despite challenges being faced in the economy.

Claims reported for the period under review decreased by 8 percent compared to the same period last year. Funeral assurance claims are urgent in nature hence assurers should expedite all claims settlement. An increase in expense ratio by 29 percent resulted in a decrease in technical profits by 43 percent as compared to the same period last year (from \$4.87 million to \$2.78 million). This is despite the increase in net premium income by 11 percent.

Total assets for the Funeral assurance industry increased by 8 percent for the period under review compared to the same period last year (from \$60.29 million to \$65.28 million). Besides the growth in asset base, the amount invested in prescribed asset by the funeral assurance industry remains low, at \$0.87 million which is 1.34 percent and this is below the required level of 7.5 percent. Despite an increase of 273 percent in the amount invested in prescribed assets, players should make plans to comply.



The capital base of the funeral assurance industry as at 30 September 2017 stood at \$38.74 million representing a 17 percent increase from \$30.02 million reported as at 30 September 2016. Statutory Instrument 95 of 2017 was gazetted on 25 August 2017, increasing the minimum capital requirements to \$2.5 million for funeral assurers. Only 3 players are compliant with this new capital requirement and there is need for funeral assurers to fully comply.

The main areas of non-compliance being prescribed asset ratio, minimum capital requirement, timely payment of levies, timely submission of returns and structure of investments.

Table1: Summary of business performance by funeral assurance Industry for cumulative period ending 30 September 2017.

Financial Aspect	Funeral Assurers		
	Sep-16	Sep-17	Growth
Net Premiums Written (\$000)*	112 554	125 356	11%
Retention Ratio	100%	100%	0%
Total Gross Claims (\$000)	9 499	8 883	-6%
Management Expenses (\$000)	12 244	14 077	15%
Commissions (\$000)	2 113	2 662	26%
Total Costs(\$000)	23 856	25 622	7%
Technical Profit(\$000)	4 866	2 776	-43%
Expense Ratio	50%	79%	29%
Claims Ratio	33%	30%	-3%
Combined Ratio	83%	86%	3%
Total Assets (\$000)	60 294	65 275	8%
Total Liabilities (\$000)	30 270	26 535	-12%
Current Assets	22 931	22 287	-3%
Current Liabilities	12 099	11 105	-8%
Capital(\$000)	30 024	38 740	29%
Capital to liability Ratio	99%	146%	47%
Prescribed Assets (\$000)	234	872	273%
Prescribed Asset Ratio (%)	0,004%	1,34%	14%

*The figure includes funeral business of US\$95.57 million written by Life assurers.

Retention

Players in the funeral assurance industry continue to retain 100 percent of their risks with no reinsurance arrangements in place. Players are encouraged to have reinsurance arrangements in place to protect them against catastrophic events.



6. Update on Operations

As at 30 September 2017 funeral assurers had 103 operational branches manned by a total of 368 staff. The use of unregistered agents is a violation of the Insurance Act [Chapter 24:07] and players should make sure that their agents are registered with the Commission. Players are also encouraged to develop a diversity of distribution channels for micro-insurance products.

Table 2: Registered agents and operational staff

Name Of Company	Corporate Agents	Sole Agents	Staff	Branches
Orchid	0	0	8	1
Doves	0	90	60	24
First Funeral	0	19	47	10
Foundation	0	12	33	8
Moonlight	0	70	118	34
Passion	0	4	4	3
Ruvimbo	0	6	30	15
Sunset	0	5	7	3
Vineyard	3	11	61	5
Total	3	217	368	103

Net Premium Written

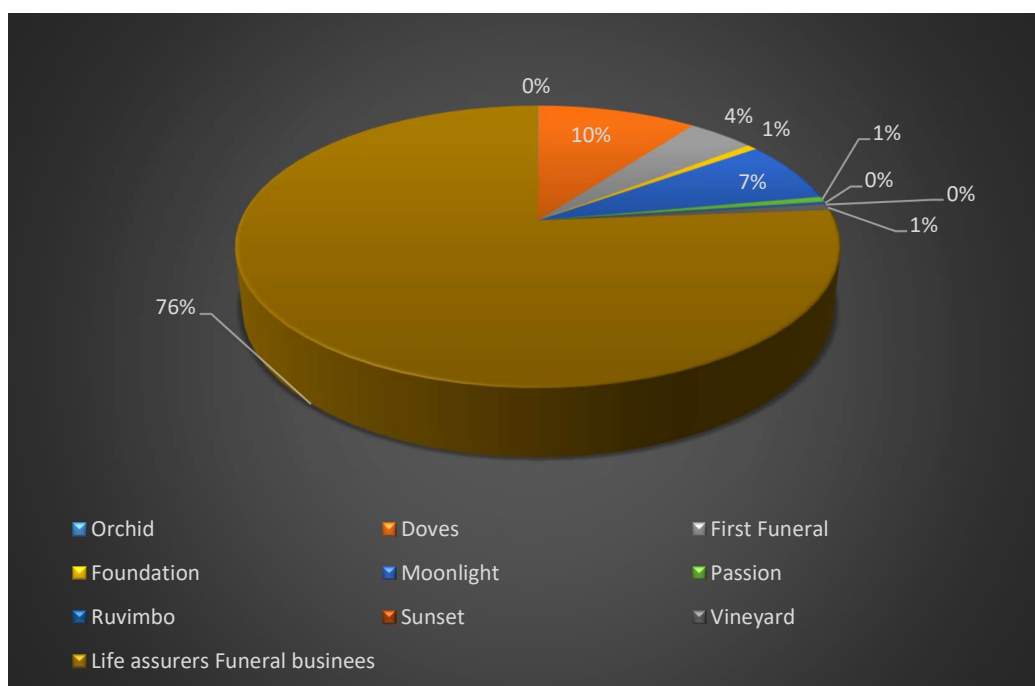
For the quarter ended 30 September 2017, the funeral assurance industry's net written premium was \$125.36 million, which is a growth of 11 percent compared to the same period last year. Life assurers wrote 76.24 percent of the net written premium while the remaining 23.76 percent was written by 9 direct funeral assurance companies. Growth was mainly driven by a 14 percent increase in premium written by Life Assurers and a 14 percent increase in premium written by Doves Funeral Assurance Company. 5 companies namely Orchid, First Funeral, Moonlight, Passion and Ruvimbo funeral Assurance Company reported a decrease in net written premium ranging from negative 60 percent to negative 2 percent. The table below shows net written premiums for the industry player by player.

Table 3: Net written premium distribution by company for the cumulative period 30 September 2017

Name Of Company	Sept 2016 (000)	Sept 2017(000)	Growth
Orchid	102	41	-60%
Doves	10 568	12 771	21%
First Funeral	5 612	5 347	-5%
Foundation	733	795	8%
Moonlight	9 642	8 795	-9%
Passion	782	770	-2%
Ruvimbo	484	394	-19%
Sunset	29	75	159%
Vineyard	770	799	4%
Life assurers Funeral business	83 832	95 569	14%
Total	112 554	125 356	11%

**The total NPW figure above includes funeral business of US\$95.57million written by Life assurers.*

Figure 1: Market Share for Funeral assurers by Net Written Premium





7. Business Composition.

For the period under review 56 percent of the funeral assurance industry's net written premium came from individual life while the remaining 44 percent came from corporate business. Volumes in new business continue to be low, accounting for only 5 percent of the industry net written premium while the remaining 95 percent came from recurring business. Players are encouraged to embrace micro insurance by developing products that appeal to the lower end of the market so as to increase their new business.

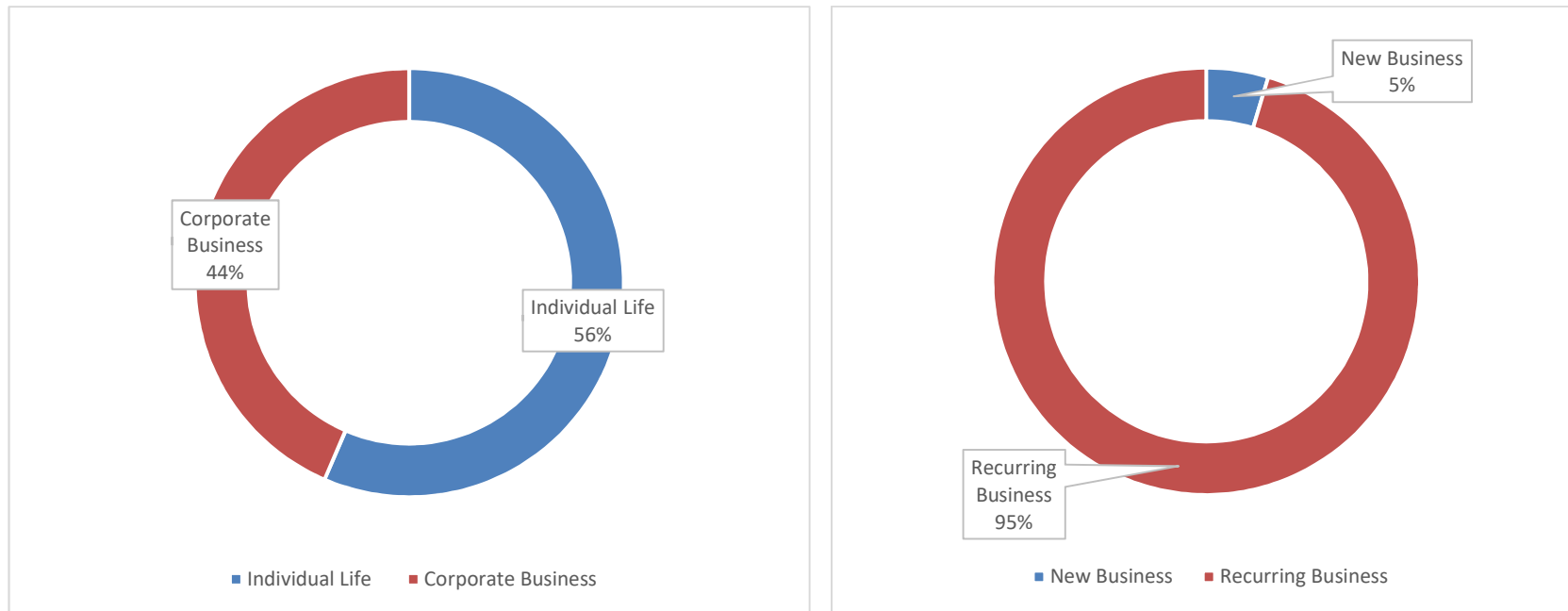
Table 4: Net Written Premium for the cumulative ending 30 September 2017.

Co. Name	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Sep-16	Sep-17	Growth (%)	Sep-16	Sep-17	Growth (%)	Sep-16	Sep-17	Growth (%)	Sep-16	Sep-17	Growth (%)	Sep-16	Sep-17	Growth (%)
Orchid	0	-	0%	21	1	-2000%	0	0	0%	81	40	-51%	102	41	-60%
Doves	34	41	21%	1 114	1 074	-4%	280	413	48%	9 140	11 243	23%	10 568	12 771	21%
F. Funeral	4	5	25%	5 608	5 342	-5%	0	0	0%	0	0	0%	5 612	5 347	-5%
Foundation	7	5	-29%	316	790	150%	0	0	0%	410	0	-100%	733	795	8%
Moonlight	542	247	-54%	9100	8 548	-6%	0	0	0%	0	0	0%	9 642	8 795	-9%
Passion	3	23	667%	191	140	-27%	2	24	1100%	587	583	-1%	783	770	-2%
Ruvimbo	53	25	-52.8%	431	116	100%	0	153	100%	0	100	100%	484	394	-19%
Sunset	26	75	1884%	3	0	-100%	0	0	0%	0	0	0%	29	75	159%
Vineyard	118	390	230%	60	0	0%	277	0	-100	315	409	30%	770	799	4%
TOTAL	787	811	3.4%	16 844	16 011	-5%	559	590	6%	10 533	12 375	17%	28 723	29 787	4%

**This analysis does not include the premium for funeral assurance business written by life insurers*



Figure 2: Net Written Premium Composition for the cumulative ending 30 September 2017



8. Not Taken-Up policies

For the quarter ended 30 September 2017, the ratio of not taken up policies to net written premiums for 8 funeral assurance players ranged from 0 to 4.24 percent which is well within commendable ranges. However Orchid continues to be an outlier with a high ratio of 43.9 percent. Players are encouraged to make sure that their policy terms are clear to clients so as to reduce not taken up policies. Table 5 below shows ratios of not taken up policies to net written premium.

Table 5: Not Taken-Up Policies

	Not Taken Up Policies
Orchid	43.9%
Doves	0.00%
First Funeral	0.52%
Foundation	0.125%
Moonlight	0%
Passion	0%
Ruvimbo	0%
Sunset	4.24%
Vineyard	0%
Average	5.40%

9. Lapse ratios

Lapse ratio ranged from 0 to 18.46 percent and Funeral assurers are encouraged to come up with flexible payment methods to reduce lapse ratios.

Table 6 Lapse ratios.

	Lapse Ratios	
	Individual (%)	Group Bus (%)
Orchid	18.46%	0%
Doves	0.00%	0%
First Funeral	0.56%	0%
Foundation	0.252%	0%
Moonlight	0.659%	0%
Passion	2.24%	0%
Ruvimbo	0.07%	0%
Sunset	0.82%	0%
Vineyard	7.74%	0%
Total	3.4%	0%



10. Claims Aged Analysis

As at 30 September 2017, total outstanding claims amounted to \$34,000. Of these claims an amount of \$16,000 was for claims aged from 0 to 30 days. Claims payment is an important element of funeral assurance operations and players should make sure that claims are paid early so as not to inconvenience the bereaved families. The Commission will constantly monitor both the efficiency of assurers in discharging claims and their ability to settle claims payment and take corrective measure if need be.

Table 7: Claims Aged Analysis (000) as at 30 September 2017

Name of Company	Orchid	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days	2	0	8	0	3	0	3	0	0	16
31-60days	0	0	5	0	0	0	1	0	0	6
61-90days	0	0	11	0	0	0	0	0	0	11
91-120days	0	0	0	0	0	0	0	0	0	0
<121 days	0	0	0	0	0	0	0	0	0	0
Reinsurance		0	0	0	0	0	0	1	0	1
Total	2	0	24	0	3	0	4	1	0	34

11. Debtors aged analysis

Total debtors for the funeral assurance industry amounted to USD2.84 million as at 30 September 2017. The industry average ratio of debtors to gross premium was 32.04 percent (see appendix 1A) indicating an above average level of credit being granted to policyholders by players. Players should therefore work on reducing the amount of debtors.

Table 8: Debtors Aged Analysis (000) as at 30 September 2017

Name of Company	Orchid	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days	7	304	65	15	88	18	6	8	92	603
31-60days	6	0	76	11	132	25	7	11	114	382
61-90days	3	0	105	7	176	29	0	5	101	426
91-120days	2	0	141	5	221	28	0	7	94	498
<121 days	0	0	0	65	264	471	0	0	130	930
Total	18	304	387	103	881	571	13	31	531	2839

12. Earnings

For the quarter ended 30 September 2017 technical profits decreased by 41 percent (from USD4.67 million to USD2.78 million) as compared to the same period in 2016. This was driven by

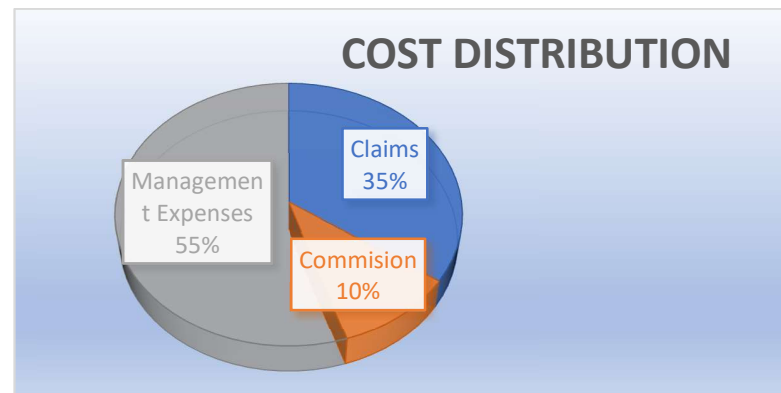


growth of 29 percent in expenses from 50 percent in 2016 to 79 percent in 2017. Net profit after tax amounted to \$2.94 million. Players are encouraged to rationalize costs so as to improve their profitability.

Table 9: Key earnings indicators for the quarter ended 30 September 2017

Co. Name	NPW			Claims (000)			Commissions(000)			Management Expenses			Total Costs(000)			Combined Ratio		
	Sep-16	Sep-17	Growth	Sep-16	Sep-17	Growth	Sep-16	Sep-17	Growth	Sep-16	Sep-17	Growth	Sep-16	Sep-17	Growth	Sep-16	Sep-17	Growth
Orchid	102	41	-60%	1	7	600%	0	0	0%	143	51	-64%	144	58	-60%	141%	141%	0%
Doves	10 568	12 771	21%	4 160	4 102	-1%	911	897	-2%	3 222	4 207	31%	8 293	9 206	11%	78%	72%	-6%
F.Funeral	5 612	5 347	-5%	1 688	1 637	-3%	1 088	1 402	29%	1 433	1 884	31%	4 209	4 923	17%	75%	92%	17%
Foundation	733	795	8%	98	88	-10%	39	70	79%	528	661	25%	665	819	23%	91%	103%	12%
Moonlight	9 642	8 795	-9%	3 133	2 612	-17%	0	214	100%	5 746	5 997	4%	8 879	8 823	-1%	92%	100%	8%
Passion	782	770	-2%	181	218	20%	2	53	100%	372	453	22%	555	724	30%	71%	94%	23%
Ruvimbo	484	394	-19%	53	62	17%	19	0	-100%	346	304	-12%	418	366	-12%	86%	93%	7%
Sunset	29	75	159%	4	9	100%	0	2	0%	21	65	210%	25	76	204%	86%	101%	15%
Vineyard	770	799	4%	181	148	-18%	54	24	-56%	433	455	5%	668	627	-6%	87%	78%	-9%
Total	28 722	29 787	4%	9 499	8 883	-6%	2 113	2 662	26%	12 244	14 077	15%	23 856	25 622	7%	83%	86%	3%

Figure 4: Cost distribution for the quarter ended 30 September 2017





For the quarter ended 30 September 2017 the funeral assurance industry recorded an average return on equity of 7.56 percent and return on assets of 4.49 percent. This shows an improved level of profitability as compared to the first half figures of 4 percent and 2.46 percent respectively. The bulky of the earnings in the industry are from the core business, making them high quality earnings.

13. Assets Quality

The funeral assurance industry assets stood at USD65.4 million as at 30 September 2017. These assets are composed of fixed property, money market securities, cash and other investments. On average non-interest generating assets accounted for 84.43 percent of the industry total assets (see appendix 1A). This shows a concentration of the industry's assets in non-interest generating less liquid investments. The funeral assurance industry's premium debtors to total assets ratio was 14.6 percent which is high compared to 4.6 percent obtained on 30 June 2017. Players should contain premium debtors so as to maintain a healthy asset structure.

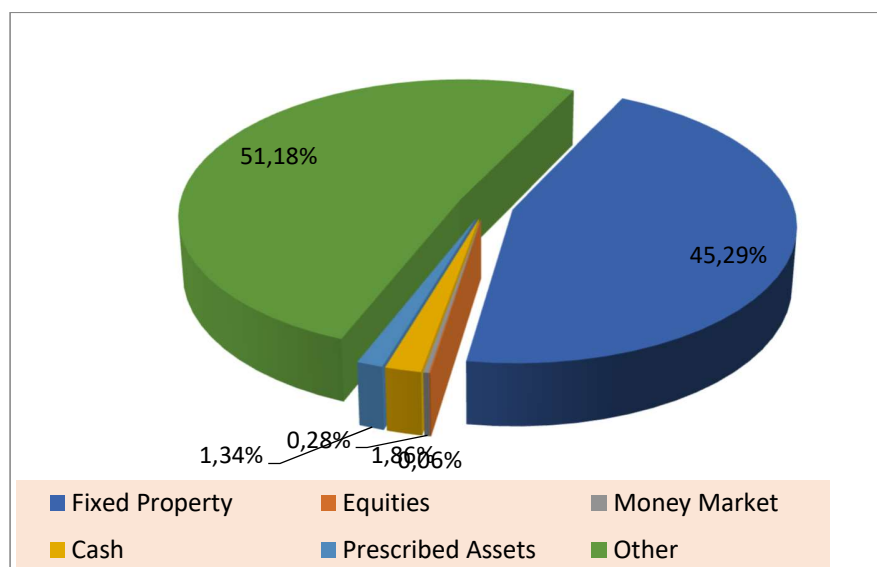
Table 10: Funeral Assurance industry asset base as at 30 September 2017

	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets(000)			Total Assets (000)		
	Sep-16	Sep-17	Var	Sep-16	Sep-17	Var	Sep-16	Sep-17	Var	Sep-16	Sep-17	Var	Sep-16	Sep-17	Var	Sep-16	Sep-17	var	Sep-16	Sep-17	Growth
Orchid	1183	1 112	-6%	16	16	0%	71	78	0%	2	2	0%	16		-100%	0		0%	1 288	1 208	-6%
Doves	4 974	8 547	72%	4	6	50%	0	0	0%	687	953	39%	17 072	17 266	1%	60	539	89%	22 797	27 311	20%
F.Funeral	905	1 149	27%	10	15	50%	0	0	0%	-79	35	-144%	9 080	8 175	-10%	0	20	0%	9 916	9 394	-5%
Foundation	1 395	1 326	-5%	0	0	0%	17	0	-100%	62	47	-24%	807	818	1%	84	119	42%	2 365	2 310	-2%
Moonlight	11 094	11 694	5%	0	0	0%	0	0	0%	8	80	900%	4 460	4 552	2%	45	79	76%	15 607	16 405	5%
Passion	640	640	0%	0	0	0%	0	0	0%	29	56	93%	873	432	-51%	0	35	0%	1 542	1 163	-25%
Ruvimbo	1 752	1 751	0%	0	0	0%	0	0	0%	66	9	-86%	1077	1 417	32%	7	13	86%	2 902	3 190	10%
Sunset	1 694	1 675	-1%	0	0	0%	0	0	0%	3	0	0%	9	0	-100%	0	0	0%	1 706	1 675	-2%
Vineyard	1 475	1 668	13%	2	4	100%	35	102	191%	37	32	-14%	583	746	28%	39	67	72%	2 171	2 619	21%
Total	25 112	29 562	18%	32	41	28%	123	180	46%	815	1214	49%	33 977	33 406	-2%	235	872	271%	60 294	65 275	8%

*Other investments comprise of premium receivables, furniture and fittings, motor vehicles, computer equipment, staff debtors, intercompany investments and funeral services current account.

The asset base for the funeral assurance industry remains mainly concentrated in fixed property (45.29 percent) and other assets (51.18 percent). Funeral assurers remain heavily invested in less liquid assets with cash and cash equivalents accounting only for 2.14 percent of total assets (1.86 for cash and 0.28 percent for money markets). Players should align their asset structure with requirements of Circular 1 of 2013 and reduce investments in other assets to less than 10 percent. Figure 6 below shows the asset breakdown.

Figure 6: Breakdown of assets



**Other investments comprise of premium receivables, furniture and fittings, motor vehicles, computer equipment, staff debtors, intercompany investments and funeral services current account.*

14. Risk management issues

Liquidity risk.

Liquidity risk occurs when an institution cannot meet short-term debt obligations. For the period ended 30 September 2017, the average current ratio of the industry was 201 percent while the total working capital for the industry was at \$11.72 million indicating low to moderate level of liquidity risk. Players are still required to individually meet the requirements of circular 1 of 2013 by investing not less than 10 percent in liquid assets

Underwriting risk

Underwriting risk refers to the potential loss to an insurer emanating from claims incurred outstripping the premiums received. This arises either from inadequate pricing or claims or both. Underwriting risk in the funeral assurance industry remains low as evidenced by the continued prevalence of technical profits. Players are encouraged to continue pricing for risk and to be more vigilant in structuring their products so to minimise underwriting leakage.



Market risk

Market risk is the possibility for an assurer to experience losses due to factors that affect the overall performance of the financial markets where an assurer's assets which support liabilities are invested. Market risk continues to be high due to the liquidity squeeze and lack of diversity in available financial products in the financial markets. Players are encouraged to diversify their investment portfolios in available investment securities in line with Circular 3 of 2013 to reduce market risk

Operational risk

Operational risk arises from inadequate or failed internal processes, people and systems, or from external events such as fraud and natural disasters. Players should prioritise setting up of effective internal control systems with proper segregation of duties. This will help to reduce internal and external fraud. Players are also encouraged to adopt effective information technology systems and eliminate manual processes in underwriting and claims. This will go a long way in reducing high levels of operational risk in the industry.

Compliance risk

Compliance risk is exposure to legal penalties, financial forfeiture and material loss an organization faces when it fails to act in accordance with industry laws and regulations, internal policies or prescribed best practices. Compliance risk remains high in the funeral assurance industry. Non compliance is prevalent in the following area;

- Non-compliance with minimum capital requirements
- Non-compliance with the minimum solvency margin.
- Non compliance with prescribed asset ratios.
- Late submission of quarterly returns.
- Late submission of audited financial statements.
- Late payment of levies.

The Commission takes great exception issues of compliance and players are urged to comply to avoid being penalised.



15. Level of investments in Prescribed assets

As at 30 September 2017 the average prescribed asset ratio for the funeral assurance industry was 1.34 percent which is below the minimum prescribed ratio of 7.5 percent. Players are required to comply with the required prescribed asset ratio to avoid being penalized by the Commission. The table below shows the prescribed asset ratios for the players as at 30 September 2017.

Table 11: Prescribed asset ratios for funeral assurance industry player as at 30 September 2017

Company	PA Investments(000)	Total assets(000)	PA ratio %	Amount required to be compliant(000)	Variance in compliance
Orchid	US\$ -	US\$ 1,208.00	0,00%	US\$ 90.60	7,5%
Doves	US\$ 539.00	US\$ 27,311.00	1,97%	US\$ 2,048.33	5,5%
F. Funeral	US\$ 20.00	US\$ 9,394.00	0,21%	US\$ 704.55	7,3%
Foundations	US\$ 119.00	US\$ 2,310.00	5,15%	US\$ 173.25	2,3%
Moonlight	US\$ 79.00	US\$ 16,405.00	0,48%	US\$ 1,230.38	7,0%
Passion	US\$ 35.00	US\$ 1,163.00	3,01%	US\$ 87,23	4,5%
Ruvimbo	US\$ 13.00	US\$ 3,190.00	0,41%	US\$ 239.25	7,1%
Sunset	US\$ -	US\$ 1,675.00	0,00%	US\$ 125.63	7,5%
Vineyard	US\$ 67.00	US\$ 2,619.00	2,56%	US\$ 196.43	4,9%
Total	US\$ 872.00	US\$ 65,275,00	1,34%	US\$ 4,895,63	6,2%

16. Capitalisation and Solvency

As at 30 September 2017, only 3 funeral assurers had capital levels above the new minimum capital requirement of US2.5 million. The average capital maintenance ratio for the funeral assurance industry ranged from 27.52 percent to 891.56 percent with the industry average being 172.18 percent. Players are required to comply with the minimum capital requirements as a matter of urgency. Compliance increases safety of the industry and thereby enhancing protection of policyholders interests.

Shareholders equity on average financed up to 59.42 percent of the funeral assurance industry assets as shown by the equity to total assets ratio of 59.42 percent (see appendix 1A). The industry equity to total assets ratio ranged from 21.65 percent to 81.84 percent indicating a healthy balance between debt and equity capital. High debt to equity ratio results in policyholder funds being mortgaged to debt thereby reducing the safety of the policyholders interest.



Table 12: levels of Capitalisation, Liquidity and Solvency indicators as at 30 September 2017

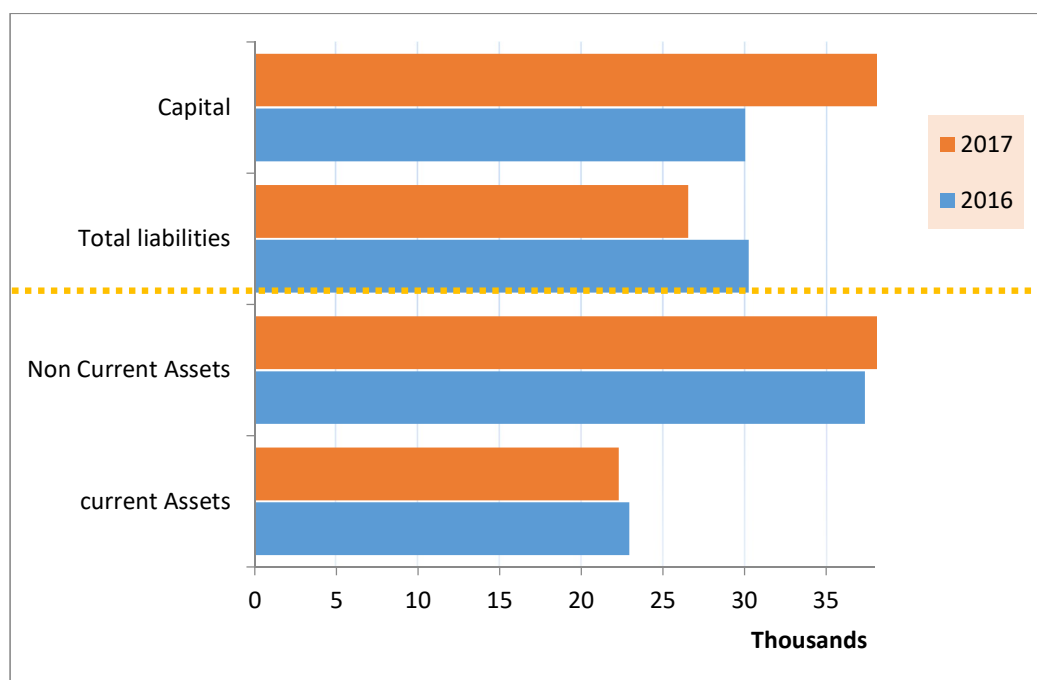
Company	Current Assets			Current Liabilities			Total Assets		Total Liabilities			Capital (Net Assets)			Capital to liability Ratio (%)			Current Ratio(%)		
	Sep-16	Sep-17	%	Sep-16	Sep-17	%	Sep-16	Sep-17	Sep-16	Sep-17	%	Sep-16	Sep-17	%	Sep-16	Sep-17	%	Sep-16	Sep-17	%
Orchid	105	116	10%	302	289	-4%	1 288	1 208	658	520	-21%	630	688	9%	96%	132%	36%	35%	40%	5%
Doves	11 159	10 057	-10%	2 239	854	-62%	22 797	27 311	9 839	5 022	-49%	12 958	22 289	72%	132%	444%	312%	498%	1178%	680%
F.Funeral	4 716	3 897	-17%	426	700	64%	9 916	9 394	3472	4 315	24%	6 444	5 079	-21%	186%	118%	-68%	1107%	557%	-550%
Foundation	681	718	5%	281	180	-36%	2 365	2 310	1 504	1 403	-7%	861	907	5%	57%	65%	8%	242%	399%	157%
Moonlight	4 468	4 632	4%	7 912	7 660	-3%	15 607	16 405	13 066	12 853	-2%	2 541	3 552	40%	19%	28%	9%	56%	60%	4%
Passion	744	359	-52%	97	230	137%	1 542	1 163	421	558	33%	1 121	605	-46%	266%	108%	-158%	767%	156%	-611%
Ruvimbo	542	42	-92%	564	709	26%	2 902	3 190	737	978	33%	2 165	2 212	2%	294%	226%	-68%	96%	6%	-90%
Sunset	13	1 768	13500%	200	227	14%	1 706	1 675	200	322	61%	1 506	1 353	-10%	753%	420%	-333%	7%	779%	772%
Vineyard	503	698	39%	78	256	228%	2 171	2 619	373	564	51%	1798	2 055	14%	482%	364%	-118%	645%	273%	-372%
Total	22 931	22 287	-3%	12 099	11 105	-8%	60 294	65 275	30 270	26 535	-12%	30 024	38 740	29%	99%	146%	47%	190%	201%	11%

Key

	Capital above the minimum required capital of USD2,500,000
	Capital below the minimum required capital of USD2,500,000

As at 30 September 2017 solvency ratios for players in the funeral assurance industry ranged from 4.52 percent to 154.2 percent. In line with best practice the minimum solvency margin required is 25 percent which is also in line with section 24 of the Insurance Act [Chapter 24:07]. The Commission encourages players to have solvency levels high enough to ensure protection of policyholders interests.

Figure 7 levels of Capitalisation, Liquidity and Solvency indicators as at 30 September 2017



17. Conclusion

The Funeral assurance industry should strive to comply with all regulatory requirements as they form the core of their business activities. Players should also align their business models with the new developments arising in the market and position themselves to benefit from the national financial inclusion strategy through microinsurance. Players are also urged to make sure that they comply with all other regulatory issues pertaining to their business conduct.

18. Appendix



APPENDIX A1. KEY PERFORMANCE INDICATORS FOR FUNERAL ASSURANCE COMPANIES										
	Orchid	Doves	F. Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total/ Average
Key Performance Indicator										
Capital Adequacy										
Capital Position (\$ 000)	688	22 289	5 079	907	3 552	605	2 212	1 353	2 055	38 740
Capital Maintenance Ratio (CMR)	27,52%	891,56%	203,16%	36,28%	142,08%	24,20%	88,48%	54,12%	82,20%	172,18%
Equity/Total Assets Ratio	57,65%	81,61%	53,89%	39,24%	21,65%	53,81%	69,34%	81,84%	78,47%	59,42%
Solvency Margin	5,79%	57,30%	106,01%	87,75%	247,68%	118,31%	17,81%	5,18%	38,88%	76,65%
Asset Quality										
Total Assets (\$ 000)	1 228	27 310	9 359	2 309	16 405	1 208	3 190	1 768	2 619	65 396
Investments to Total Assets	6,35%	1,99%	46,08%	8,01%	0,48%	12,67%	24,45%	0,00%	6,61%	9,64%
Non-Interest Generating Assets/Total Assets	92,35%	64,29%	99,63%	96,45%	99,51%	95,36%	99,69%	100,00%	97,25%	84,43%
Fixed Assets/Total Assets	90,55%	63,18%	12,28%	50,93%	71,28%	57,70%	73,70%	94,74%	68,27%	59,48%
Prescribed Assets Ratio	0,00%	1,97%	0,21%	5,15%	0,48%	3,01%	0,41%	0,00%	2,56%	1,34%
Premium Debtors/Gross Premium	43,90%	2,38%	72,23%	9,69%	50,84%	22,73%	3,55%	124,00%	66,46%	32,04%
Premium Debtors/Total Assets	1,47%	1,11%	41,27%	3,33%	27,25%	14,49%	0,44%	5,26%	20,27%	14,60%
Reinsurance										
Risk Retention Ratio	100,00%	100,00%	100,00%	100,00%	100,00%	99,87%	100,00%	100,00%	100,00%	100,00%
Earnings										
Profit After Tax (000)	1	2298	35	87	344	72	2	-68	167	2938
Return on Equity	0,14%	10,31%	0,69%	9,60%	9,69%	11,08%	0,09%	-4,70%	8,13%	7,56%
Return on Assets	0,08%	8,41%	0,37%	3,77%	2,10%	5,96%	0,06%	-3,85%	6,38%	4,49%
Loss Ratio	17,07%	32,12%	30,62%	11,07%	29,66%	28,35%	15,74%	12,00%	18,52%	29,80%
Net Commission Ratio	0,00%	7,02%	26,22%	8,81%	2,43%	6,88%	0,00%	2,67%	3,00%	8,94%
Net Expense Ratio	119,51%	32,94%	35,23%	74,21%	68,19%	58,91%	76,90%	86,67%	56,82%	47,01%
Combined Ratio	141,46%	72,09%	92,07%	103,02%	100,32%	94,03%	92,89%	101,33%	78,47%	86,02%
Investment Income/NPW Ratio	43,90%	0,00%	0,00%	74,21%	15,74%	55,14%	0,00%	70,67%	53,94%	9,74%
Investment Income/Total Financial Assets	13,92%	3,47%	0,57%	1,72%	1,26%	0,96%	0,00%	#DIV/0!	1,46%	1,34%
Liquidity										
Working Capital	-106	9 202	3 636	717	-2 165	128	-28	-134	470	11 720
Current ratio	40,14%	1177,63%	556,71%	398,89%	60,47%	156,09%	5,92%	778,85%	272,66%	201%
Acid Test ratio										
Market Share of Total Liquid Assets	6,43%	5,48%	0,37%	3,55%	0,49%	4,64%	0,28%	0,00%	2,75%	2,92%
Market Shares										
Market Share Based on GPW	0,14%	42,87%	17,95%	2,67%	29,53%	2,59%	1,32%	0,25%	2,68%	100%
Market Share Based on NPW	0,14%	42,88%	17,95%	2,67%	29,53%	2,58%	1,32%	0,25%	2,68%	100%
Market Share Based on Total Assets	1,88%	41,76%	14,31%	3,53%	25,09%	1,85%	4,88%	2,70%	4,00%	100%



APPENDIX A2. STATEMENT OF COMPREHENSIVE INCOME FOR FUNERAL ASSURERS FOR THE PERIOD ENDING 30 SEPTEMBER 2017 (000)										
	Orchid	Doves	F. Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
Gross Written Premiums	41	12771	5 347	795	8 795	770	394	75	799	29 787
Reinsurance Premiums	0	0	0	0	0	1	0			1
Net Written Premiums	41	12 771	5 347	795	8 795	769	394	75	799	29 786
Increase/(Decrease) in UPR		1277		0			27		9	1313
Net Earned Premiums	41	11 494	5 347	795	8 795	769	367	75	790	28 473
Transfer to IBNR	0	0							1	1
Outstanding claims	5	0			3			2		10
Paid Claims	2	4 102	1 637	88	2 609	218	62	9	148	8875
Net Commission Incurred	0	897	1402	70	214	53	0	2	24	2662
Technical Result	39	6 495	2 308	637	5 969	498	305	64	617	16 932
Operating Expenses	31	4207	1884	0	4613	29	303	12	23	11102
Underwriting Result	8	2 288	424	637	1 356	469	2	52	594	5830
Management expenses	18	0	0	590	1384	424		53	431	2900
Investment Income	11	52	25	4	2	2	0	2	3	101
Unrealised Gains/Losses				48			0			48
Other expenses		105	414	11	105	8		69		712
Other Income		63			370	19			1	453
Profit Before Tax	1	2 298	35	88	344	74	2	-68	167	2 941
Taxation				1		2				3
Profit After Tax	1	2 298	35	87	344	72	2	-68	167	2938
Transfer to policyholders funds				40						40
Dividends							0			0
Retained Income	1	2 298	35	47	344	72	2	-68	167	2898



APPENDIX A3. STATEMENT OF FINANCIAL POSITION FOR FUNERAL ASSURERS AS AT 30 SEPTEMBER 2017 (000)										
	Orchid	Doves	F. Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
ASSETS										
Non-Current Assets										
Fixed Assets	1112	17254	1149	1176	11694	697	2 351	1675	1 788	38896
Investments			4313	150	79	153	767		133	5 595
Investments in Associated Companies							13			13
Other Non-Current Assets				266			17			283
Total Non-Current Assets	1 112	17 254	5 462	1 592	11 773	850	3 148	1 675	1 921	44 787
Technical Assets										
Reinsurers' Share of O/S Claims										0
Deferred Acquisition Cost (DAC)										0
Total Technical Assets	0	0	0	0	0	0	0	0	0	0
Current Assets										
Cash & cash equivalents	1	953	35	47	80	56	9	0	32	1 213
Money Market Investments	78	544		35				0	40	697
Current Prescribed Assets										0
Premium Receivables	18	304	3 862	77	4 471	175	14	93	531	9 545
Intercompany Investments	15	8 255								8 270
Inventory and Other Debtors	4			558	81	127	18		95	883
Total Current Assets	116	10 056	3 897	717	4 632	358	42	93	698	20 609
TOTAL ASSETS	1 228	27 310	9 359	2 309	16 405	1 208	3 190	1 768	2 619	65396
Liabilities										
Deferred Tax Liabilities		533		180	1427				28	2168
Future policyholders benefits	231		3615	1223	3232	328	610	94	253	
Loans		3635	439		1398		298		55	5825
Current Tax provisions		0			304					304
Gross Outstanding Claims		0			3			9		12
IBNR		0								0
UPR	67	0								67
Creditors		0								
Amount due to related companies	143									143
Other Creditors	79	854	261		6490	230	70	218	228	8430
Total Liabilities	520	5 022	4 315	1 403	12 854	558	978	321	564	16 949
SHAREHOLDERS' EQUITY										
Share Capital	14	4255	411		1500	1049	930		211	8370
Provision for future claim		8204		594					978	
Share Premium	1 334		1 610							2944
Revaluation & Other Reserves	268	144	502	305	2925	360	893	1681	36	7114
Retained Profit	-908	9685	2 521	7	-874	-759	389	-234	830	10657
Shareholders's Equity	708	22 288	5 044	906	3 551	650	2 212	1 447	2 055	38 861
TOTAL EQUITY & LIABILITIES	1 228	27 310	9 359	2 309	16 405	1 208	3 190	1 768	2 619	65 396,00



Appendix B1: Statutory Instruments and Circulars issued during the half year.

For the quarter under review the Commission issued the following circular to guide the industry on various issues affecting its operations: -

Circular Issued	Subject	Date Issued
Circular 6 of 2017	Use of employees of registered insurers, Bancassurance, Corporate agents and consultants in transacting insurance business	26 April 2017



Appendix B2: Prescribed assets available in the market as at 30 September 2017

Name of The Issuer	Face Value (\$)	Salient Features	Remarks/Comments
Applications Approved in 2016			
1. Honde Hydro Power Consolidated	5,000,000	✓ Coupon rate of 8.5% to 9%, with a tenor of 5years ✓ Purpose: Intended for the construction of Hauna Power Station and to use some of the funds as working capital	Application was approved on the 13 th of May 2016. The Bond was fully subscribed as advised by IMARA
2. IDBZ Series 1 2015B	5,000,000	✓ Coupon rate of 9.5% with a tenor of 5 years ✓ Purpose: To finance housing projects namely New Marimba Park in Harare and Clipshan Views Suburb in Masvingo	Application was approved on the 13 th of May 2016. IDBZ managed to raise \$5 million. US\$0.5 million was raised from the insurance industry and US\$0.5 million from the pensions industry. The balance of \$4 million that was raised is uncategorized (i.e. IDBZ could not confirm how much was invested from the pension and insurance industry as some of the investors were in form of nominees)
3. Agribank and FBC, 2016/2017 Agrobills	20,000,000	✓ Coupon rate negotiable on private placement. ✓ Purpose: is to finance the 2016/2017 agricultural season.	Application approved on the 27 th of July 2016 and is now open for subscription. Fully subscribed and is closed. Repayments for the bond have started and are expected to be fully paid off by November 2017 as per the maturity schedule
4. ZETDC	15,000,000	✓ Coupon 7% per annum ✓ Purpose: to finance ZETDC Pre-Paid Meters	Application approved on the 27 th of July 2016 and is still open for subscription.



Name of The Issuer	Face Value (\$)	Salient Features	Remarks/Comments
			The Commission has not yet received update on the uptake of the bond by the industry.
5. Agricultural Marketing Authority (AMA) Bills being arranged by CBZ	50,000,000	✓ Coupon rate of 8.5% for a tenor of 360 days. ✓ Government Guarantee as security ✓ Purpose: to capacitate GMB to procure up to 100,000 metric tonnes of maize and 22000 metric tonnes of wheat	Application approved on the 9th of September 2016. The application has since been closed with total subscriptions amounting to USD49,940,000, and amount due to investors at maturity will be USD53,764,091.92 Repayments to be made on the 7th of September 2017
6. Agribank 2016/2017 Agrobills	5,000,000	✓ Coupon rate that is negotiable on private placement ✓ Government Guarantee as security ✓ Purpose: is to finance the 2016/2017 agricultural season	Application approved on the 23rd of December 2016 and is CLOSED \$3.075 million was raised and the repayments are to be made in December 2017
7. IDBZ Housing Bond (Empumalanga West Housing Project)	5,800,000	✓ Coupon rate of 8.5% p.a. with a tenor of 7 years ✓ Purpose: financing of the Mpumalanga West Housing Project. ✓ Government Guarantee as security	Application was approved on the 28th of December 2016 and is open for subscription. To date, funds totaling \$1.024 have been raised, of which \$1 million was raised from the pension industry and \$0.024 from the insurance industry. The bond's maturity date is the 8th of December 2021 and the first coupon payment was paid in June 2017.



Name of The Issuer	Face Value (\$)	Salient Features	Remarks/Comments
Applications Approved in 2017 as at the 4 August 2017			
1. ZB 2016/2017 Agro bills	10,000,000	✓ Coupon rate of 6.5% with a tenor of one year. ✓ Purpose: to finance the 2016/2017 agricultural season.	Application approved on the 13th of February 2017 and is open for subscription. Available Update on uptake of the bond yet to be received
2. Zimbabwe Power Company	There	✓ No term sheet has been submitted by the applicant ✓ Purpose: financing of the 30MW Gaines Hydro Power generation plant and 100MW Gwanda Solar Project	The application was approved by the Minister of Finance and Economic Development on the 20th of February 2017. However, the application was done directly to the Ministry of Finance and Economic Development and therefore the Commission does not have information relating to the bond's salient features and the total amount expected to be raised through this bond issue.
3. ZINARA	100,000,000	✓ Coupon rate of 6.5% and a tenor of 12 months ✓ Purpose: to finance road rehabilitation	Application approved on the 6th of April 2017 and is open for subscription. Update on uptake of the bond yet to be received.
4. IDBZ Housing Bond (Sumben Housing Project)	12,200,000	✓ Coupon rate of 8.5% p.a with a tenor of 7 years inclusive of 2 years grace period. ✓ Purpose: Financing of the Sumben Housing Project in Harare. ✓ Government Guarantee as security.	Application was approved on 28 April 2017 and it is open for subscription. To date, no funds have been raised by IDBZ in respect of this bond issuance.
5. Government of Zimbabwe Irrigation	50,000,000	✓ Coupon of 6% plus Consumer Price Index (CPI) and a tenor of 3 years	The instrument was structured between the Ministry of Finance and Economic Development, the insurance and pensions industry and IPEC. However, the instrument has since been handed over to



Name of The Issuer	Face Value (\$)	Salient Features	Remarks/Comments
Infrastructure Treasury Bond (IITB)		✓ Purpose: To contribute towards Command Agriculture through funding of development of irrigation infrastructure	the Reserve of Zimbabwe to contact the potential subscribers and issue them with the instrument.
6. IDBZ Kariba Housing Bond (Series 2 2017B Bond)	14,900,000	✓ Coupon rate less or equal to 10%, tenor ranging from 3 to 10 years and guaranteed by the Government of Zimbabwe	Application approved by the Minister and the approval letter dated the 28 th of June 2017 written by the Commission has since been dispatched to the applicant. Total amount of US\$7.6 million raised to date, of which about US\$1.38 million (\$0.88 from pension funds and \$0.5 million from the insurance industry) has been raised from both the insurance and pensions industry. The balance of \$6.2 raised is uncategorized (i.e. IDBZ could not confirm how much was invested from the pension and insurance industry as some of the investors were in form of nominees). The bond matures on 22 June 2022 and no repayments have been done so far
7. Afreximbank US\$300 million bond Issue	300,000,000	✓ Tenor of two years and guaranteed by the Government of the Republic of Zimbabwe ✓ Purpose: to provide a financial instrument that is used as security for interbank lending, thereby enabling liquidity to flow in the banking system and broader economy	Application approved by the Minister and the approval letter dated the 27 th of June 2017 written by the Commission has since been dispatched to the applicant



Name of The Issuer	Face Value (\$)	Salient Features	Remarks/Comments
8. CBZ AMA Bills	80,000,000	✓ Purpose is to finance purchase of grain	Application approved by the Minister and the approval letter dated the 4 th of July 2017 written by the Commission has since been dispatched to the applicant
9. Agribank and FBC Agro bills	20,000,000	✓ Tenor of 270 days and 360 days ✓ Secured by a Government Guarantee (however, this has not been finalized between the Banks and the Ministry of Finance) ✓ Purpose: to finance the 2017/18 agricultural season	Application approved by the Minister and the approval letter dated the 5 th of July 2017 written by the Commission has since been dispatched to the applicant
10. Fidelity Life Assurance Southview Park	12,600,000	✓ a tenor of 5 years at a coupon rate of 5% p.a ✓ Purpose: to service about 5974 stands for the Fidelity Southview Park Project	The request for the extension of the Bond Maturity was approved by the Commission on the 18 th of July 2017. The Ministry of Finance and Economic Development was also advised of the approval of the maturity extension to the 30 th April 2018 through our letter dated the 18 th of July 2018
11. Metbank (Command Agriculture)	30,000,000	✓ Purpose: To finance fertilizer producers for the winter wheat season (Command Agriculture)	Approval of Prescribed Asset Status granted in letter received on 18 August 2017. Metbank advised of approval
12. Plum Solar (Private) Limited – Solar 5MW Solar Power Plant	3,000,000	✓ 7 year paper at USD labor plus 9% ✓ To finance the development of a solar power plant in Plumtree	Financial instrument got direct ministerial approval for the prescribed asset status.



Name of The Issuer	Face Value (\$)	Salient Features	Remarks/Comments
13. IDBZ – University Staff and Student Project	35,100,000	✓ Participating Preference Shares at fixed rate of 5% ✓ Purpose for the construction of various State universities staff and student accommodation	Financial instrument got direct ministerial approval for the prescribed asset status.
Applications Under Consideration/Assessment as at 1 September 2017			
Name of Applicant	Face Value (\$)	Salient Features	Remarks/Comments
Oxygen Energy (Private) Limited through Regatta Financial Advisors	28,000,000	✓ Tenor of 5 to 10 years at a coupon rate of 10% ✓ Purpose: To finance 20MW rooftop Solar Plants with capacity to generate 20MW on Old Mutual Buildings	Application is under consideration.
1. ZB Financial Holdings – GMB Agro Bills	50,000,000	✓ 365 days tenor at coupon rate of 8% ✓ Purpose – For the procurement and storage of grain from farmers	Processing of application held in abeyance pending receipt of GMB's Borrowing Power Certificate and Government Guarantee for the proposed financial instrument



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